

**Time:** 5 minutes**Outcome:** Analyze LRAS, SRAS, sticky adjustment, expectations, and supply shifts.**Difficulty:**

Intermediate

Aggregate Supply



THE CORE IDEA

Aggregate supply describes the real output firms produce at different price levels in the short run and at potential output in the long run. Short-run aggregate supply slopes upward because some wages, input prices, and expectations adjust slowly. Changes in production costs or expected prices shift the short-run curve, while changes in labor, capital, resources, or technology can change long-run productive capacity.



HOW TO RECOGNIZE IT

- AS1 shows less output supplied at each price level.
- SRAS slopes upward because sticky wages, sticky prices, and misperceptions allow price-level changes to affect output.
- Higher expected prices tend to produce higher nominal wages and other input costs.
- With sticky wages, unexpected price increases can make production temporarily more profitable.

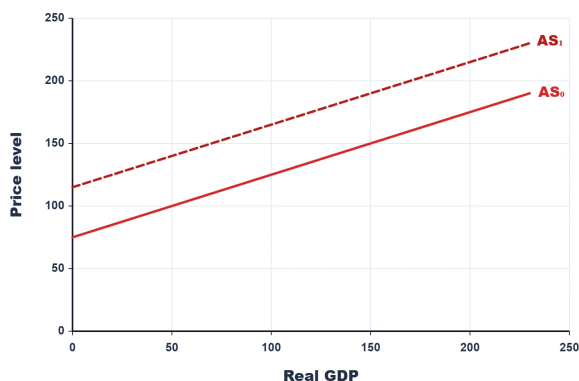


WATCH OUT

A common mistake is to confuse a movement along aggregate supply with a shift of the curve. A cost shock changes the output firms supply at every price level, so the entire curve shifts.



WORKED EXAMPLE: SHIFTING AGGREGATE SUPPLY



Higher energy prices raise production costs. The graph represents that shock by shifting aggregate supply upward and left from AS₀ to AS₁: at any given real GDP, firms require a higher price level. In a full AD-AS model, the short-run result is lower output and a higher price level.



CHECK YOURSELF

What change from AS₀ to AS₁ is shown?

**READY?**

Return to the game and master this concept.